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UNITED STATES BANKRUPTCY COURT
NORTHERN DISTRICT OF NEW YORK

In re: Sample Manufacturing Inc., (TIN: xx-xxx7788) Debtor.	Hearing: November 19, 2026 Time: 10:00 a.m. Location: Albany, New York Case No. 26-60011 Chapter 7
Example Trustee, as Chapter 7 Trustee of the estate of Sample Manufacturing Inc., Plaintiff, v. Example Vendor LLC, Defendant.	Adv. Pro. No. 26-80011

MEMORANDUM OF LAW IN SUPPORT OF DEFENDANT'S MOTION TO DISMISS THE SECOND AND FOURTH CLAIMS FOR RELIEF

Defendant Example Vendor LLC ("Defendant" or the "Vendor") submits this memorandum of law in support of its motion, under Fed. R. Civ. P. 12(b)(6), made applicable by Fed. R. Bankr. P. 7012(b), for an order dismissing the Second Claim for Relief and the Fourth Claim for Relief of the Complaint filed by the Plaintiff, Example Trustee, as Chapter 7 trustee (the "Trustee") of the estate of Sample Manufacturing Inc. (the "Debtor").

PRELIMINARY STATEMENT

The Complaint seeks to avoid, and to recover from the Vendor, a payment of $212,000 that the Debtor made on account of an invoice for equipment during the year before the Debtor filed for relief. Two of the Complaint's five claims rest on that payment. The Second Claim alleges actual fraud under 11 U.S.C. § 548(a)(1)(A) and the Fourth Claim alleges constructive and actual fraud under 11 U.S.C. § 544(b) and New York Debtor and Creditor Law ("NYDCL") §§ 273 and 276.

Neither claim is supported by facts that would make a plausible claim for relief. The Second Claim pleads the Debtor's intent by reciting the statutory words and by pointing to the badges of fraud, but it alleges no facts about what the Debtor intended, when, or how the Vendor participated in any such intent. The Fourth Claim does not identify a single actual creditor of the Debtor who could have avoided the payment on the petition date, which is the threshold for relying on 11 U.S.C. § 544(b).

The Vendor does not, by this motion, challenge the First, Third, or Fifth Claims. It reserves all defenses to them, including the defenses available under 11 U.S.C. § 547(c), and it answers them as the Court directs under Fed. R. Bankr. P. 7012(a).

STATEMENT OF THE ALLEGATIONS

For purposes of this motion only, the Vendor accepts the well-pleaded facts of the Complaint as true, as it must. The Vendor does not accept the Trustee's characterizations.

The Debtor purchased a precision lathe and related tooling from the Vendor under an invoice dated June 2, 2025, for a total price of $212,000. The Complaint alleges that the Debtor paid that invoice in full on August 27, 2025, by wire transfer (the "Payment"). The Complaint does not allege that the Vendor knew of any dispute between the Debtor and any other person when the Payment was received.

The Debtor filed a voluntary petition under chapter 7 on October 2, 2025. The Trustee was appointed on October 6, 2025. The Complaint alleges that, on the date of the Payment, the Debtor

owed unpaid obligations to a supplier and to the Internal Revenue Service, but it does not allege the amount of either obligation or the date on which it became due.

The Second Claim alleges that the Payment was made with actual intent to hinder, delay, or defraud creditors. Its only supporting facts are that the Debtor's business was declining, that the Payment exhausted a portion of the Debtor's cash, and that the Payment was made to an existing vendor on an existing invoice. The Fourth Claim alleges that the Payment is avoidable under NYDCL §§ 273 and 276, as enforced by the Trustee under 11 U.S.C. § 544(b), and it identifies "the Debtor's unsecured creditors" as the creditors whose rights the Trustee holds, without naming one.

STANDARD OF REVIEW

To survive a motion under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to state a claim to relief that is plausible on its face. *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim is facially plausible when the pleaded facts allow the court to draw the reasonable inference that the defendant is liable for the misconduct alleged. *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). Labels, conclusions, and a formulaic recitation of the elements of a cause of action do not suffice. *Id.*

Allegations of fraud must also satisfy Fed. R. Civ. P. 9(b), which applies in an adversary proceeding under Fed. R. Bankr. P. 7009. Malice, intent, knowledge, and other conditions of a person's mind may be alleged generally, but the circumstances constituting fraud must be stated with particularity.

ARGUMENT

POINT I: THE SECOND CLAIM DOES NOT PLEAD ACTUAL INTENT

Section 548(a)(1)(A) permits the avoidance of a transfer made by the debtor "with actual intent to hinder, delay, or defraud" a creditor within two years before the petition date:

> (A) made such transfer or incurred such obligation with actual intent to hinder, delay, or defraud any entity to which the debtor was or became, on or after the date that such transfer was made or such obligation was incurred, indebted.

11 U.S.C. § 548(a)(1)(A).

A. Badges of Fraud Do Not Substitute for Facts Showing Intent

The Complaint relies on badges of fraud, which are circumstances from which intent may sometimes be inferred. Those badges are not themselves the intent. The Complaint alleges that the Payment was made to an existing vendor, on an invoice the Debtor had agreed to, in the ordinary course of a business that the Complaint describes as declining. An ordinary payment on an ordinary invoice is the paradigm of a transfer that is not made with intent to defraud, and the Complaint does not allege any fact that distinguishes this Payment from one.

The Complaint also does not allege what the Debtor knew about its creditors when it made the Payment, or what the Debtor intended to do with the cash it did not pay. The Trustee's theory depends on an inference of intent from insolvency and from the transfer's size, and the Complaint pleads neither the amount of the Debtor's debts nor the date on which they fell due, so the Court cannot tell whether the Debtor was insolvent when it paid the Vendor or what it was paying from.

B. The Complaint Pleads No Facts About the Vendor's Participation

Section 548(a)(1)(A) reaches a transfer made with the debtor's intent. Where the transferee is an arm's-length vendor, the Complaint must still allege facts that would make it plausible that the Vendor knew of, or took part in, the debtor's intent. Rule 9(b) requires those facts to be stated with particularity.

The Complaint alleges no communication between the Debtor and the Vendor about the Payment, no request for accelerated payment, no concession on price, and no other term that would suggest the Vendor was aware of any scheme. It alleges only that the Vendor was paid. Under *Iqbal*, that is not enough to allow the reasonable inference that the Vendor is liable for the transfer as pleaded. 556 U.S. at 678.

The Second Claim should be dismissed for this reason as well.

C. The Insolvency Allegation Is Conclusory

The Second Claim and the Fourth Claim both depend on the Debtor's insolvency when the Payment was made. Section 101(32) of the Bankruptcy Code defines insolvency as a financial condition in which the sum of the entity's debts is greater than all of its property, at a fair valuation. 11 U.S.C. § 101(32)(A). The Complaint does not allege the Debtor's assets, the fair value of those assets, or the amount of its debts on August 27, 2025. It alleges only that the Debtor "was insolvent" and "was unable to pay its debts as they came due."

Those words track the statute, and they are a legal conclusion. A court is not bound to accept them as true when the facts pleaded do not support them. *Iqbal*, 556 U.S. at 678–79. The Complaint's own allegations point the other way: it describes an operating business that was still buying equipment and paying invoices in the months before the Payment, and it does not explain how a business in that position was insolvent when it paid a single invoice of $212,000.

The Trustee should be required to plead the facts of insolvency, not the word. Until he does, neither the Second Claim nor the Fourth Claim can proceed.

POINT II: THE FOURTH CLAIM DOES NOT IDENTIFY AN ACTUAL CREDITOR

Section 544(b)(1) allows the trustee to avoid a transfer that is voidable under applicable law by an actual creditor holding an unsecured claim that is allowable under section 502, or that is not allowable only under section 502(e). The trustee's power under section 544(b) therefore depends on identifying a creditor who could have avoided the transfer outside bankruptcy on the petition date.

A. The Complaint Does Not Name Any Creditor

The Fourth Claim relies on "the Debtor's unsecured creditors" as a class. It does not identify any creditor by name, does not allege the amount or the date of any claim, and does not allege that any such creditor held an unpaid claim on the petition date that arose before the Payment. A class of

unnamed creditors is not an actual creditor for purposes of section 544(b). The Complaint's reference to the Internal Revenue Service is not a substitute, because the Complaint does not allege that the Internal Revenue Service held an unsecured claim that arose before the Payment and remained unpaid on October 2, 2025.

B. The NYDCL Claims Fail for the Same Reason

Constructive fraud under NYDCL § 273 and actual fraud under NYDCL § 276 are each a claim that an actual creditor may bring. A Fourth Claim that does not identify such a creditor does not state a claim under either section, and it cannot be cured by a general reference to creditors. The Trustee's reliance on NYDCL § 273 also requires the Complaint to plead facts showing that the Debtor did not receive fair consideration for the Payment, and the Complaint pleads that the Vendor delivered the equipment, which is consideration the Complaint does not dispute.

POINT III: DISMISSAL SHOULD BE WITH PREJUDICE AS TO THE FOURTH CLAIM

Leave to amend is ordinarily freely given, but it may be denied where amendment would be futile. The Trustee has already had the benefit of the Debtor's books and records through the Trustee's own investigation, and the Complaint describes that investigation in detail. If the Trustee has a creditor who could have avoided the Payment, the Trustee can identify that creditor. The Vendor therefore asks that the Fourth Claim be dismissed with prejudice. Should the Court grant leave to amend, the Vendor asks that any amended pleading be filed within fourteen days and identify each creditor relied on by name.

CONCLUSION

For these reasons, the Vendor respectfully requests that the Court grant its motion, dismiss the Second and Fourth Claims for Relief of the Complaint, and grant such other relief as the Court deems just and proper.

Dated: October 14, 2026

Respectfully submitted,
EXAMPLE DEFENSE COUNSEL LLP
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CERTIFICATE OF SERVICE

I certify that on October 14, 2026, I caused the foregoing memorandum of law to be filed electronically through CM/ECF, which sends notice to every registered user who has appeared in this adversary proceeding. I further certify that on the same day I caused a copy to be served by first-class mail, postage prepaid, on the Office of the United States Trustee for Region 2 and on the Plaintiff's counsel of record, each of whom is a non-registered user for this purpose.

Dated: October 14, 2026

/s/ Robin T. Sample